Audio file

Market Opportunities- Part 2.m4a

Transcript

Hi and welcome to the second video in the series Entrepreneurship in Action regarding the competence area IDs and opportunities. With this video we will be discussing the following three topics. We start with a model from ID to opportunity. Next we discuss the different triggers for venture ID generation and we end this video with an overview of the different pathways for opportunity creation and how to move from ID to opportunity. Now, the central question we will be addressing throughout this video is therefore the following one. Where do ideas and opportunities come from? This picture provides an overall conceptualization of how to move from idea to opportunity. It is an integration of the current knowledge we have in academia regarding opportunity creation and development, and it was developed by a researcher called Vogel in 2017. This entire process starts with a trigger. If an individual is triggered to start their venture, and then they move to the next stage, which we call idea generation. In order to make it an opportunity, you need to move to the opportunity development stage, where you assess whether the idea is worth pursuing for you as an entrepreneur by looking into factors like desirability and feasibility. Of course, this entire process does not happen in Baku, it does not occur in an empty environment, but it's shaped by two factors. On the one hand, we have those endogenous factors we already discussed in the previous video. So those are the actions you take as an entrepreneur and influence this entire process. And on the other hand, we also have exogenous factors. factors in our external environment that also determine whether an opportunity becomes something worth pursuing or not for you as an entrepreneur. Let's start with this process with discussing the different triggers of ID generation. In total, we can discern three different factors for ID generation. The first one is the market pull. So there, the ID comes from an observed unmet need in the market. or a particular customer segment you want to address, often because you have affinity with that customer segment, that you have a lot of experience with that customer segment. For example, if you work in a retirement home with the elderly, it might help you detect their particular needs and help you spot an opportunity. The second way to initiate the process of ID generation is resource push. So there you start with a particular resource or a capability And that then forms a starting point of an entrepreneurial journey. In a university context, the resource to start with is often a technology, but it could also be a capability. So for example, if we look at bakeries, they often start with the baking competences of a particular person. And then a third way to start the entrepreneurial journey and the process of IT generation is simply the desire to start. Now we see that more and more people have this ambition to become an

entrepreneur one day. Also among students we observe this, and we see nowadays that becoming an entrepreneur is in fact a viable career option, but often students do not know yet where to start. Well, this model shows that if there is a desire to start, that's often enough. Once you have that desire to start, you can then take the following action to come up with your idea. And then the overview on this slide may help you to do so. Here we see three different pathways for opportunity creation. The first one is intentional idea generation. And typically, if you have the desire to start and you want to move forward, you want to make progress, you would engage in a process of intentional idea generation. So that means that you actively search for an idea that is worth pursuing. And then we can make use of different techniques. The most common technique used is brainstorming, where we freely flow around some ideas. and be very creative about it to eventually come up with an idea that is worth pursuing. Other techniques are design thinking, where we start with a particular problem at hand and then use creativity and design techniques to come up with a solution. Another way could be wishful thinking. There you start with a particular future state, a desirable future that you want to achieve, that you want to contribute to, and then you reason back in order to make it happen and what type of solution or product would be needed for that. Apart from intentional idea generation, there is also a process called accidental discovery. Accidental discovery is, as the word itself says, not on purpose, not intentional, but instead someone accidentally comes across an opportunity. Here we see the icon of a gold mine and I think that's a good example of what accidental discovery can look like. So the gold mines, especially the first one, were discovered. often not on purpose, but someone came across a very rare metal and then started to make use of that opportunity. Another good example of how accidental discovery can be a good starting point for the venture is the discovery of dynamite. Dynamite was discovered by an academic called Dr. Noble, Alfred Noble, and when he was working in his lab as a way to stabilize nitroglycerin, he came across a porous material that allowed him to store nitrogen in a stable way. Doing so, he discovered what we now know as dynamite, a stable explosive. And then 1/3 way to come up with your idea for your own venture is by legacy. Legacy means that you do not rely on your own ID, but instead you're relying on someone else's ID to sparse your entrepreneurial journey and spark the entrepreneurial process. Again, then we can discern two different ways to detect IDs. Either you can go out there on purpose looking for others' IDs that are worth pursuing, In corporate context, this is often referred to as open innovation. And you can also make use of crowdfunding or crowdsourcing platforms, for example, to see what type of ID could be worth for students. And here in the Eindhoven region, we have our very own example of how to do that, and that's the venture builder called High Tech Excel. So there they scout external technologies and use that as a starting point for setting up new ventures. The second way to make use of legacy as a way to come up with your idea is non-intentional. Simply by talking to others, at one point you might get inspired by the conversation and come across an idea that you believe is worth

pursuing. A nice example in this regard is that of Subway, the sandwich shop we all know. So Subway was founded by a student, in fact. And he was discussing with a friend of his the need to find a job to earn some extra cash. And then this friend recommended to him, why don't you start a submarine sandwich shop? And that is how Subway is important. So you can see there are different ways of coming up with your ideas. And even if you feel not inspired right now, this overview helps you to realize there are different ways to initiate your entrepreneurial journey. Let's have a look at what we have learned today. So, as a rapid, we can see that there are three different figures for ideation. First of all, there is resource push. Second, market pull. And finally, the desire to start. And then there are also three pathways for opportunity creation. The first one was intentional ID generation. one accidental discovery and the final one legacy. Thanks for watching this video on opportunity creation. In the next one we will be discussing opportunity evaluation. Thanks for watching.